

Santo Design
Adjusted Trial Balance
December 31, 2025

	Dr.	Cr.
Cash	\$ 11,350	
Accounts Receivable	21,500	
Supplies	5,000	
Prepaid Insurance	2,500	
Equipment	60,000	
Accumulted Depreciation - Equipment		35,000
Accounts Payable		5,000
Interest Payable		150
Notes Payable		5,000
Unearned Service Revenue		5,600
Salaries and Wages Payable		1,300
Common Stock		10,000
Retained Earnings		3,500
Service Revenue		61,500
Salaries and Wages Expense	11,300	
Insurance Expense	850	
Interest Expense	150	
Depreciation Expense	7,000	
Supplies Expense	3,400	
Rent Expense	4,000	
	\$ 127,050	\$ 127,050

Santo Design
Income Statement
For the Year Ended December 31, 2025

Revenues

Service revenue	\$ 61,500
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Expenses

Salaries and Wages Expense	11,300
Insurance Expense	850
Interest Expense	150
Depreciation Expense	7,000
Supplies Expense	3,400
Rent Expense	<u>4,000</u>

Total expenses	<u>26,700</u>
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Net income	<u><u>\$ 34,800</u></u>
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Santo Design
Retained Earnings Statement
For the Year Ended December 31, 2025

Retained earnings, January 1, as reported	3,500
Add: Net income	<u>34,800</u>
Retained earnings, December 31	<u><u>\$ 38,300</u></u>

Santo Design
Balance Sheet
As of December 31, 2025

Assets

Cash		11,350
Accounts Receivable		21,500
Supplies		5,000
Prepaid Insurance		2,500
Equipment	60,000	
Less: Accumulted Depreciation - Equipment	<u>(35,000)</u>	25,000
Total Assets		<u>\$ 65,350</u>

Liabilities

Accounts Payable		5,000
Interest Payable		150
Notes Payable		5,000
Unearned Service Revenue		5,600
Salaries and Wages Payable		<u>1,300</u>
Total Liabilities		17,050

Stockholders' Equity

Common Stock		10,000
Retained Earnings		<u>38,300</u>
Total Stockholders' Equity		48,300
Total Liabilities and Stockholders' Equity		<u>\$ 65,350</u>